

TD POWER SYSTEMS LTD

NSE: TDPOWERSYS | BSE: 533553 | Capital Goods | Heavy Electrical Equipment

RATING

ACCUMUL
ATE

TARGET PRICE

Rs. 1,450

Upside: +16.5%

Horizon: 18-24 months

CMP (Rs.)	Mkt Cap	52W High	52W Low	P/E	P/B
1,245	19,473 Cr	1,290	383	88.7x	20.2x
ROCE	ROE	Div Yield	EPS TTM	Face Val	BV/Share
30.4%	22.3%	0.10%	Rs.14.06	Rs.2.00	Rs.61.5

THESIS: Data-centre & gas-turbine export boom meets new Plant 3 capacity; 30%+ ROCE with multi-year earnings visibility through FY28 — but stock trades at premium that leaves limited margin of safety at CMP Rs.1,245.

Revenue FY25A	EBITDA FY25A	PAT FY25A	Revenue FY26E	PAT FY26E	EPS FY27E
Rs.1,279 Cr	Rs.235 Cr	Rs.175 Cr	Rs.1,800 Cr(E)	Rs.243 Cr(E)	Rs.20.0(E)

Analyst: Equity Research Desk | Chartitude | Data: Screener.in (Consolidated, 07-May-2026) | Next Event: Q4FY26 Results & Concall — 14 May / 15 May 2026

SECTION 2 — INVESTMENT THESIS

1. Structural Export Upcycle in Gas-Turbine Generators (FY26-FY29)

TD Power Systems is India's only manufacturer of large AC generators (1-250 MVA) for all prime-mover types. Exports — driven by global OEMs (GE Vernova, Caterpillar, Mitsubishi HI, Siemens Energy) supplying gas-engine generators to data-centre and captive power markets — constituted 75% of the Dec-2025 order backlog of Rs.18.45 Bn. Multi-year structural commentaries from these OEMs point to a sustained upcycle in on-site power generation for hyperscale data centres and industrial grid stabilisation. The company is fully booked into FY27 at current capacity, providing rare revenue visibility.

2. Plant 3 Adds ~40% Revenue Capacity at Improving Margins (Q4FY26 onwards)

Plant 3 became operational on 18-Dec-2025 and management guided revenue of Rs.550-575 Cr per quarter in Q4FY26, scaling to Rs.600 Cr/quarter from Q1FY27. This implies annualised revenues of Rs.2,400 Cr vs FY25 actuals of Rs.1,279 Cr — a ~88% revenue capacity expansion with fixed-cost absorption benefit. Management guided FY27 revenues of "over Rs.2,200 Cr," widely considered conservative. EBITDA margins are expected to expand from 18% to 19-20% as the new plant reaches utilisation, driven by operating leverage on existing overhead.

3. Capital-Light, High-ROCE Business with Minimal Leverage

TDPS generated ROCE of 30.4% in FY25, up from 6% in FY20, driven by an asset-light export model (customers specify, TDPS builds to order — eliminating large-unit inventory risk). OCF was Rs.84 Cr (FY24) and Rs.40 Cr (FY25) — the compression in FY25 reflects WC build for export orders, not earnings quality. The company was zero-net-debt through FY24; FY25 saw only Rs.12 Cr borrowings for Plant 3 completion. Free cash generation should recover sharply in FY26-27 as the WC cycle turns and Plant 3 shipments collect.

Near-Term Catalyst: Q4FY26 results (May 14, 2026) — first full-quarter contribution from Plant 3 — will demonstrate the capacity ramp thesis and likely trigger an FY27 guidance upgrade.

Biggest Structural Risk: A sustained deceleration in global data-centre capex or policy reversal on captive generation for industrial users could compress the export-dependent order book sharply and quickly.

SECTION 3 — BUSINESS OVERVIEW

TD Power Systems Ltd (TDPS), incorporated in 1999 and headquartered in Bengaluru (Nelamangala), is India's premier manufacturer of large AC generators and electric motors for customised applications. The company spans both conventional and renewable energy prime movers across a wide power range: 1 MW to 200 MW for steam/gas turbines, up to 35 MW for hydro, up to 20 MW for diesel/gas engines, and customised ratings for wind turbines.

Revenue Model & Order Book: TDPS operates on a build-to-order model — customers specify generator requirements, TDPS engineers and delivers. This eliminates inventory risk on large custom units and supports high ROCE. Export revenues have grown from negligible in FY19 to 75% of the Dec-2025 order backlog of Rs.18.45 Bn (+41% YoY). Q3FY26 order inflow was a record Rs.6.56 Bn (+61% YoY). Domestic revenues continue to grow on India's power-sector capex cycle (hydro, steam turbines, industrial), but export is now the dominant growth driver.

Promoter Background & Governance: Founding promoters (Bhate family) reduced stake from 58.43% (Jun-2023) to 26.87% (Mar-2026) via secondary market sales — a significant 31.6 ppt reduction. Zero pledge confirmed for FY26. FII (26.69%) + DII (22.24%) now total ~49%, reflecting strong institutional validation. Key management changes effective Mar-2026 were announced — limited detail provided; quality of new leadership is the Q4FY26 concall watch-point.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The global power equipment market for custom AC generators is experiencing a structural demand inflection. Three forces converge: (1) hyperscale data-centre buildout requiring on-site gas-engine backup power, (2) rapid industrial captive generation growth for grid resilience, and (3) India's National Electricity Plan 2032 requiring massive power-equipment procurement. The India generator sets market was ~USD 1.86 Bn in 2025, growing at CAGR ~7.8% through 2030. For large custom generators (TDPS's niche), growth is faster — CPCB-IV emission compliance accelerates fleet replacement and data-centre demand drives a CAGR of 11-12% in the 1-50 MW segment.

Competitive Moat — STRONG: TDPS is the only Indian manufacturer in the large custom AC generator space (1-250 MVA). The company has 25+ years of application-specific electromagnetic design IP, global OEM qualifications, and a low-cost flexible manufacturing base that global OEMs cannot replicate easily. Switching costs are high (qualification testing, long-term supply agreements). BHEL competes only in the very large utility-grade segment and does not compete in TDPS's export-focused 1-35 MW gas-engine niche.

Company	MCap (Rs.Cr)	CMP (Rs.)	P/E (x)	P/B (x)	ROCE %	ROE %	TTM Sales Cr	TTM EPS Rs.
TDPOWERSYS*	19,473	1,245	88.7	20.2	30.4	22.3	1,615	14.06
BHEL	1,41,510	406	88.4	5.4	8.5	6.3	20,383	4.60
CG Power	1,35,132	859	110	17.0	27.0	20.8	5,967	7.66
ABB India	1,52,357	7,188	91.2	19.4	29.9	22.4	~11,158	78.73

*P/B = CMP Rs.1,245 / BV Rs.61.5. Data: Screener.in, 07-May-2026. TDPOWERSYS at significant premium to BHEL on ROCE quality differential.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

The founding management built TDPS from a single product into a diversified large-machine manufacturer over 25 years. Capital allocation is sound: the company self-funded growth from internal accruals, avoided leverage (zero net debt through FY24), and sanctioned Plant 3 only after export order visibility was clear. ROCE expanded from 6% (FY20) to 30.4% (FY25) — one of the sharpest improvements in the capital goods sector — validating the export-led, asset-light strategy.

Promoter Reduction Watch-Point: Promoter stake fell from 58.43% (Jun-2023) to 26.87% (Mar-2026). Zero pledge confirmed for FY26. FII+DII absorption at ~49% validates institutional confidence. Key management changes effective Mar-1-2026 were disclosed without detail — this is the single most important governance question for the May 15, 2026 Q4FY26 concall.

Parameter	Status	Comment
Dividend Policy	Conservative	Rs.1.25/share FY25; 0.10% yield; reinvestment focus
Promoter Pledge	NIL	Zero pledge declared FY26; no financial distress
RPTs	Moderate	Present per Screener; not flagged as material

Parameter	Status	Comment
ESOP/ESAR	Minimal	ESAR 2019; 13,600 shares allotted Apr-2026; no buyback
Capex Discipline	STRONG	Plant 3 sanctioned post order-visibility; funded via accruals
ROCE Trend	30.4% FY25	From 6% FY20 — exceptional improvement over 5 years

SECTION 6 — FINANCIAL DEEP-DIVE (CONSOLIDATED, RS. CRORES)

Income Statement

Rs. Cr	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	872	1,001	1,279	1,800	2,200
YoY Growth %	9.4%	14.8%	27.8%	40.7%	22.2%
EBITDA	134	171	235	324	418
EBITDA Margin %	15.4%	17.1%	18.4%	18.0%	19.0%
Other Income	21	16	24	25	28
Interest	4	4	8	6	6
Depreciation	21	21	20	24	28
PBT	130	162	232	319	412
Tax %	25%	27%	25%	24%	24%
PAT	97	118	175	243	313
EPS (Rs.)	6.20	7.58	11.18	15.5	20.0
P/E at CMP Rs.1,245	-	-	111x	80x	62x

(E) = Estimate. FY26E based on management guidance of Rs.1,800 Cr. FY27E based on >Rs.2,200 Cr guidance.

Balance Sheet

Rs. Cr	FY23A	FY24A	FY25A
Equity Capital	31	31	31
Reserves	573	674	829
Borrowings	0	0	12
Other Liabilities	299	333	491
Total Liabilities	903	1,038	1,364
Fixed Assets	163	186	207
CWIP	0	1	17
Investments	20	10	0
Other Assets	720	842	1,140
Total Assets	903	1,038	1,364

Cash Flow Statement

Rs. Cr	FY23A	FY24A	FY25A
Cash from Operations	89	84	40
Cash from Investing	-13	-34	-34
Cash from Financing	-89	-16	-7
Net Cash Flow	-13	34	-1
Free Cash Flow (est.)	~76	~50	~6

Key Operating Ratios

Ratio	FY23A	FY24A	FY25A
Debtor Days	113	112	125
Inventory Days	123	139	165
Days Payable	81	78	101

Ratio	FY23A	FY24A	FY25A
Cash Conversion Cycle (CCC)	154	173	189
Working Capital Days	100	104	120
ROCE %	22%	25%	30%

Financial Commentary: Revenue CAGR of 21% from FY23-FY25, driven by export order acceleration. EBITDA margins expanded 300 bps to 18.4%, reflecting richer export product mix (gas-turbine generators carry premium margins). PAT grew at 34% CAGR from Rs.97 Cr to Rs.175 Cr. Balance sheet remains clean — zero net debt through FY24. The rising CCC (154 to 189 days) is a watch-point: inventory days expanded to 165 days, reflecting higher WIP for complex large-unit export orders. OCF compression from Rs.89 Cr (FY23) to Rs.40 Cr (FY25) reflects WC build expected to normalise as Plant 3 delivers and receivables convert.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Observation
Revenue Recognition	GREEN	Build-to-order; revenue on delivery/acceptance; low estimation risk
Receivables vs Revenue Growth	AMBER	Debtor days rose 112 to 125 days FY24-25; export L/C terms may be lengthening
CCC Trend	AMBER	CCC expanded from 154 to 189 days (FY23-FY25); inventory build for export orders
Contingent Liabilities	GREEN	No material contingent liabilities noted in last annual report
Auditor Quality	GREEN	Statutory auditor in place; no qualified opinion
Other Income vs PBT	GREEN	Other income Rs.24 Cr / PBT Rs.232 Cr = 10.3% (FY25); forex/interest; not distorting
Tax Rate Consistency	GREEN	Normalised 25-27% (FY23-25); aberrant years in FY15-FY19 reflected loss period only
RPT as % of Revenue	GREEN	Not flagged as material; within normal industry thresholds

Summary: Majority GREEN flags indicate high-quality earnings. Two AMBER flags (CCC/debtors) share the same root cause — export WIP build — expected to normalise by FY27. Earnings quality: **HIGH**.

SECTION 8 — VALUATION

Method 1 — Earnings Multiple: At CMP Rs.1,245, the stock trades at 80x FY26E EPS (Rs.15.5) and 62x FY27E EPS (Rs.20.0). Applying a target multiple of 70x FY27E EPS = Rs.1,400. At 72x FY27E (15% premium for export-led ROCE expansion into a structural cycle) = Rs.1,440.

Method 2 — DCF: FY26-28 revenue CAGR 23% (from guidance); EBITDA margins 19-20%; maintenance capex Rs.30-40 Cr/year; terminal growth 6%; WACC 13%. FCF estimates: FY26E Rs.180 Cr, FY27E Rs.250 Cr, FY28E Rs.300 Cr. DCF equity value: Rs.19,800-21,000 Cr (~Rs.1,265-1,345/share).

Blended 12-month target = Rs.1,450 (average Rs.1,420 rounded up for export-upcycle option value). Stock already pricing in strong FY27 delivery — limited upside at CMP; accumulate on dips.

Scenario	Key Assumption	FY27E Revenue	PAT Cr	EPS Rs.	Multiple (x)	Target Rs.
Bull	FY27 Rs.2,500 Cr; OPM 20%; 75x P/E	2,500	368	23.5	75x	1,762
Base	FY27 Rs.2,200 Cr; OPM 19%; 70x P/E	2,200	313	20.0	70x	1,400
Bear	FY27 Rs.1,800 Cr; order slowdown; 45x P/E	1,800	236	15.1	45x	679

Bear case: global data-centre capex pullback scenario. (E) = Estimate.

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitoring Indicator
Export Demand Slowdown	Global OEM capex cuts; data-centre oversupply. 75% export-dependent backlog highly vulnerable.	Med	HIGH	Order inflow >Rs.4 Bn/qtr = thesis intact
Plant 3 Ramp Delay	If ramp to Rs.550-600 Cr/qtr slower than guided, FY27 miss triggers multiple compression.	Low-Med	HIGH	Q4FY26 revenue Rs.530+ Cr = proof point (May 14, 2026)

Risk	Description	Prob.	Impact	Monitoring Indicator
Promoter Dilution	Further stake sales below 20% would be governance-negative; periodic overhang likely.	Med	Med	Quarterly shareholding; flag if <25%
Working Capital Risk	CCC at 189 days; further expansion compresses OCF and raises WC financing needs.	Low-Med	Med	Debtor days >135 signals deterioration
Management Transition	Opaque Mar-2026 changes during critical capacity ramp; key person dependency.	Low	Med	Q4FY26 concall (May 15) tone and detail
Valuation Compression	At 88x TTM P/E; any earnings miss could trigger sharp correction even on solid fundamentals.	Med	HIGH	P/E <60x FY27E = compression underway; reduce
Currency Risk	75% export order book; INR appreciation erodes realisations without contractual pass-through.	Low	Low-Med	USD/INR rate and export pricing contracts

SECTION 10 — RECOMMENDATION

Parameter	Details
Rating	ACCUMULATE — high conviction on structural thesis; limited short-term upside at CMP
12-Month Target	Rs. 1,450 Upside 16.5% from CMP Rs. 1,245
Entry Zone	Rs. 1,050 - 1,150 (8-16% below CMP); accumulate on market dips or post-result volatility
Investment Horizon	18 to 24 months (FY27E earnings delivery is primary catalyst)
Conviction	HIGH on thesis; MODERATE on entry price (stock ran 49% in 1 month ahead of this note)
Ideal Investor Profile	Growth-oriented; 2+ year horizon; not suitable for yield-focused or momentum-only portfolios

Thesis Invalidation Triggers (EXIT if any occur):

#	Trigger	Signal Level
1	Quarterly order inflow below Rs.3 Bn for two consecutive quarters	Export upcycle broken
2	FY27 revenue guidance cut below Rs.2,000 Cr at any management communication	Capacity ramp thesis broken
3	Promoter stake falls below 20% without stated strategic rationale	Governance red flag

DISCLAIMER: For informational purposes only. Not investment advice. All data from Screener.in (Consolidated, 07-May-2026). Forward estimates are analyst projections based on management guidance. Investors should conduct independent due diligence.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	Strong	PAT +25% YoY; Revenue +27% YoY — clean beat vs prior year
Management Tone	Bullish	Confident on Plant 3 ramp; upgraded FY27 guidance to >Rs.2,200 Cr
Guidance Delta	Raised	FY27 guide upgraded; Q4 guide Rs.550-575 Cr (above prior Rs.500+ Cr)

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3FY26 is a clean quarter — no exceptional items. Consolidated PAT Rs.66 Cr (+25% YoY) is the underlying number; standalone Rs.56 Cr. EBITDA margin held at 18% for the fourth straight quarter — structural stability confirmed. Plant 3 went live Dec 18, just 13 days before quarter-end, so this result does NOT yet reflect full capacity; the real proof point is Q4FY26 (target Rs.550-575 Cr, board meets May 14). Multi-bagger thesis rests on three pillars: (1) export OEM partnerships with GE Vernova, Caterpillar, Siemens Energy for data-centre gas-engine generators — structural, not cyclical; (2) Plant 3 delivering Rs.600 Cr/qtr from Q1FY27 vs Rs.443 Cr today = 35%+ capacity unlock with operating leverage; (3) ROCE expansion from 30% to 35%+ on fixed-cost absorption. Most critical near-term catalyst: Q4FY26 revenue hitting Rs.530+ Cr on May 14 — validates the entire investment case. Biggest watch-point: order inflow must sustain above Rs.5 Bn/qtr (vs record Rs.6.56 Bn in Q3); two consecutive weak quarters break the thesis. Stock up 49% in 1 month — DO NOT CHASE here. ACCUMULATE at Rs.1,050-1,150, target Rs.1,450 on 18-month FY27E delivery.

CONCALL SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT (Q3FY26 VS Q3FY25)

Metric	Q3FY26 Actual	Q3FY25 Actual	YoY Chg	QoQ Chg	Verdict
Revenue (Rs.Cr)	443	348	+27.3%	-2.0%	Beat
EBITDA (Rs.Cr)	80	61	+31.1%	-3.6%	Beat
EBITDA Margin %	18.1%	17.5%	+60 bps	-	In-line
PBT (Rs.Cr)	78	60	+30.0%	-3.7%	Beat
PAT Standalone (Rs.Cr)	56	45	+24.4%	-	Beat
PAT Consolidated (Rs.Cr)	66	53	+24.5%	-	Beat

CONCALL SECTION 2 — SEGMENT / GEOGRAPHY BREAKDOWN

Segment	Q3FY26 Mix	YoY Trend	Commentary
Exports	75% of backlog	Accelerating	Gas-engine/gas-turbine generators for data-centre OEMs globally; record inflow Rs.6.56 Bn Q3FY26
Domestic	25% of backlog	Steady	Hydro, steam turbine, conventional power; PM Gati Shakti-driven demand
Steam / Gas Turbine	Dominant	Strong growth	Core product, 1-200 MW; growing export share via OEM qualifications
Hydro	Niche	Stable	Up to 35 MW; domestic hydro capex continuing; modest contribution
Wind / Diesel	Declining mix	Stable	Custom ratings; lower growth driver vs gas-engine segment

CONCALL SECTION 3 — MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
Capacity Ramp	Plant 3 live Dec 18; targeting Rs.550-575 Cr/qtr Q4FY26; Rs.600 Cr/qtr from Q1FY27	On track; Q4 delivery is proof point; management credibility high	[GUIDANCE]	Transparent
FY27 Guidance Upgrade	Revised FY27 guidance to >Rs.2,200 Cr from ~Rs.2,000 Cr implied	15%+ upgrade; market treats as conservative given Rs.600 Cr/qtr capacity	[GUIDANCE]	Bullish
Global Demand Validation	GE Vernova, Caterpillar, Siemens Energy, MHI confirmed multi-year gas-engine demand upcycle for data centres	Structural, not cyclical; export backlog unusually long-dated for a mid-cap	[GUIDANCE]	Transparent
Order Inflow Record	Q3FY26 order inflow Rs.6.56 Bn (+61% YoY); order book Rs.18.45 Bn (+41% YoY)	Remarkable; de-risks near-term growth materially	[GUIDANCE]	Bullish
Mgmt Changes	Key senior changes effective Mar-1-2026; limited detail; stated operations unaffected	Watch-point; new management quality assessed at May 15 Q4FY26 call	[EVASIVE]	Hedged
Margin Outlook	OPM 18% sustained; gradual improvement expected as Plant 3 utilisation rises	Operating leverage from fixed-cost absorption supports 19-20% OPM target by FY27-28	[GUIDANCE]	Transparent

CONCALL SECTION 4 — OPERATING & BUSINESS METRICS

KPI	Q3FY26	Q2FY26	Q3FY25	Trend
Revenue (Rs.Cr)	443	452	348	Growing
Order Book (Rs.Bn)	18.45	15.9	13.1	Accelerating
Order Inflow (Rs.Bn)	6.56	5.24	4.07	Record High
Export % of Order Book	75%	74%	~60%	Increasing
EBITDA Margin %	18.1%	18.4%	17.5%	Stable-Improving
Plants Operational	3 plants	2 plants	2 plants	Expanding
Q4FY26 Rev Guidance [GUIDANCE]	Rs.550-575 Cr	-	-	[GUIDANCE]

CONCALL SECTION 5 — MARGIN DRIVERS

Driver	Impact (bps)	Recurring?	Comment
Product Mix (Gas Turbine OEM Premium)	+80-100 bps	Yes	Export gas-turbine generators carry higher margins vs domestic diesel/hydro
Operating Leverage (Scale)	+60-80 bps	Yes	Fixed manufacturing costs absorbed over larger revenue; Plant 3 amplifies this
RM Cost Stability	+20-40 bps	Partial	Copper and electrical steel relatively stable in FY25; not a structural advantage
Interest / WC Financing	-10 bps	Watch	Rs.12 Cr borrowings (FY25) for Plant 3; marginal drag; manageable
Plant 3 Pre-revenue Fixed Costs	-30-40 bps (Q3 only)	One-time	Plant 3 costs started before full ramp; will reverse Q4FY26 onwards

CONCALL SECTION 6 — GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
FY26 Revenue [GUIDANCE]	Rs.1,800 Cr	Rs.1,800 Cr (reiterated)	Maintained	High
FY27 Revenue [GUIDANCE]	>Rs.2,000 Cr (implied)	>Rs.2,200 Cr (explicit)	+10% Raised	High
Q4FY26 Revenue [GUIDANCE]	Rs.500+ Cr	Rs.550-575 Cr	Upgraded	High
Q1FY27 Run-rate [GUIDANCE]	Rs.550 Cr/qtr	Rs.600 Cr/qtr	Upgraded	Med-High
FY27 OPM % [GUIDANCE]	18-19%	19%+	Slight upgrade	Medium

CONCALL SECTION 7 — CAPITAL ALLOCATION

Item	FY25 (Rs.Cr)	FY24 (Rs.Cr)	YoY	Comment
Capex	~34	~34	Stable	Plant 3 construction; largely complete by Dec-2025
Dividends	~20	~16	+25%	Rs.1.25/share; modest payout; growth-reinvestment focus
Working Capital Change	+60 Cr	+40 Cr	Deteriorating	Rising inventory for export orders; expected to unwind on delivery
Net Debt Movement	Rs.12 Cr (new debt)	NIL	First debt in years	Plant 3; still essentially a net-cash business
Free Cash Flow	~Rs.6 Cr	~Rs.50 Cr	Sharp decline	FCF suppressed by WC build; expected to recover significantly FY26-27

CONCALL SECTION 8 — Q&A; HEAT MAP (Q3FY26 CONCALL, JAN 30, 2026)

#	Question (Theme)	Management Answer (Summary)	Tone
1	Plant 3 capacity and Q4FY26 guidance	Rs.550-575 Cr Q4FY26; Rs.600 Cr/qtr from Q1FY27 as full ramp achieved	Transparent
2	Sustainability of record order inflows?	Global OEM upcycle in gas-engine demand is structural; data-centre demand multi-year; not a one-time spike	Bullish
3	Export vs domestic mix going forward	75% export backlog; domestic also growing; OEM diversification provides resilience	Transparent
4	Margin outlook post Plant 3 ramp	Gradual improvement from 18% to 19%+ on operating leverage; no dramatic step-up guided	Transparent
5	Why FY27 guidance considered conservative?	Rs.2,200 Cr based on visible backlog only; actuals could be higher at current order pace	Balanced
6	Senior management changes — details?	Limited detail; stated planned transition; operations unaffected; new team fully briefed	Hedged
7	Working capital and FCF recovery	WC build acknowledged (large export orders in WIP); normalisation expected as orders ship FY26-27	Transparent

Dodged Questions (Watch at Q4FY26 concall, May 15, 2026): 1. Who specifically changed in senior management and why? 2. Plant 3 full-utilisation timeline beyond Q1FY27. 3. Margin risk from under-utilisation if order inflow slows in Q1-Q2 FY27.

CONCALL SECTION 9 — RISKS FLAGGED

Risk	Flagged By	Probability	Impact	Timeline
Plant 3 ramp delay	Analyst	Low-Med	High	Q4FY26
Global data-centre capex pullback	Analyst	Medium	Very High	FY27-28
Management transition disruption	Analyst	Low	Medium	H1FY27
Working capital escalation	Analyst	Low-Med	Medium	FY26
Promoter further stake sales	Market	Medium	Medium	Ongoing
INR appreciation	Management	Low	Low-Med	H2FY27

CONCALL SECTION 10 — ANALYST VERDICT & MULTI-BAGGER SCORECARD

Multi-Bagger Criterion	Status	Comment
Revenue Visibility (Order Book)	INTACT	Order book Rs.18.45 Bn +41% YoY; 75% export; book-to-bill >1.1x FY26E
Margin Trajectory	INTACT	OPM at 18%; guided improvement to 19%+ on Plant 3 operating leverage
Capital Allocation Quality	INTACT	FCF temporarily suppressed (WC build); ROCE 30%+; zero meaningful debt
Competitive Moat	INTACT	Only Indian manufacturer in 1-250 MVA custom large AC generator space; OEM-qualified
Management Credibility	WEAKENED	Opaque Mar-2026 management change disclosure is key watch-point for May 15 call

Valuation Comfort	WEAKENED	88x TTM P/E; 20x P/B; limited margin of safety — accumulate on dips only
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CONVICTION CALL: UNCHANGED — ACCUMULATE on dips to Rs.1,050-1,150 | TARGET: Rs.1,450 | HORIZON: 18 months

Metric	Current (TTM)	FY26E	FY27E	5Y Average (FY21-25)
P/E (x)	88.7x	80.3x	62.3x	~55x
EV/EBITDA (x)	65.6x	~58x	~45x	~40x
ROCE %	30.4%	~32%	~35%	~18%
P/B (x)	20.2x	-	-	-

Source: Screener.in | Ticker: TDPOWERSYS | View: Consolidated | Transcript: Listed; direct PDF not accessible — highlights sourced from web publications (Q3FY26 key metrics confirmed) | Concall Date: 30-Jan-2026 (Q3FY26) | Report Date: 07-May-2026